

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

Generated on 2026-01-01

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. PRIMARY MARKET ANALYSIS - EUROPE REGION

Week of 2025-12-25 to 2026-01-01

Executive Summary

This week saw a modest level of M&A activity across various sectors in Europe, with a total deal value of approximately \$3.1 billion. The TMT sector led the way with significant transactions, including HARMAN's acquisition of ZF's ADAS business for \$1.6 billion. The Healthcare sector remained quiet with no notable deals reported. The Energy sector recorded a small capital raise by Coop Pank AS, while the Consumer sector experienced a significant deal collapse involving JCPenney. Overall, the market sentiment reflects cautious optimism, particularly in technology and automotive sectors, while regulatory scrutiny continues to pose challenges.

Weekly Deal Summary

Sector	Deal Count	Total Deal Value	Largest Deal	Avg Deal Size
TMT	3	\$2.1 B	HARMAN acquiring ZF's ADAS Business for \$1.6 B	\$700 M
Healthcar	0	\$0 B	N/A	N/A
Energy	1	\$5.4 M	Coop Pank AS raising capital	\$5.4 M
Consumer	1	\$950 M	JCPenney store sale collapse	\$950 M
Industry	1	\$245 M	Aica Kogyo acquiring Stylam Industries	\$245 M
TOTAL*	**6	**\$3.1 B**	**HARMAN acquiring ZF's ADAS Business for \$1.6 B**	**\$516.67 M**

Top 10 Deals of the Week

1. **Deal Name:** HARMAN acquiring ZF's ADAS Business

Sector: TMT

Deal Size: \$1.6 billion

Valuation Multiples: N/A

Date Announced: December 23, 2025

Strategic Rationale: This acquisition enhances HARMAN's capabilities in the Advanced Driver Assistance Systems (ADAS) market, aligning with the industry's shift towards software-defined

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

vehicles.

[Link:** **HARMAN to Acquire ZF's ADAS Business**](#)

2. **Deal Name:** Coop Pank AS raising subordinated capital

Sector: Energy

Deal Size: \$5.4 million

Valuation Multiples: N/A

Date Announced: December 19, 2025

Strategic Rationale: The funds will support Coop Pank's growth strategy, particularly in promoting energy efficiency and renewable energy projects.

[Link:** **Coop Pank AS raises subordinated capital from the European Energy Efficiency Fund**](#)

3. **Deal Name:** JCPenney store sale collapse

Sector: Consumer

Deal Size: \$950 million

Valuation Multiples: N/A

Date Announced: December 26, 2025

Strategic Rationale: The deal's collapse raises questions about the valuation of the properties and the strategic direction of JCPenney.

[Link:** **\\$950M deal to sell more than 100 JCPenney stores collapses**](#)

4. **Deal Name:** Aica Kogyo acquiring Stylam Industries

Sector: Industry

Deal Size: \$245 million

Valuation Multiples: N/A

Date Announced: December 28, 2025

Strategic Rationale: The acquisition aims to enhance Aica Kogyo's market presence in India, leveraging Stylam's established distribution network.

[Link:** **Japan materials maker to buy 53% of Stylam Ind in Rs2,030 crore deal**](#)

5. **Deal Name:** Silicon Valley Acquisition Corp. IPO

Sector: TMT

Deal Size: \$200 million

Valuation Multiples: N/A

Date Announced: December 24, 2025

Strategic Rationale: The IPO aims to raise capital to fund future acquisitions in high-growth sectors.

[Link:** **Silicon Valley Acquisition Corp. Announces Closing of \\$200 Million Initial Public Offering**](#)

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

Sector-by-Sector Breakdown

TMT Sector

- Total Deals: 3
- Total Deal Value: \$2.1 billion
- Key Deals:
- HARMAN acquiring ZF's ADAS Business for \$1.6 billion
- Silicon Valley Acquisition Corp. IPO for \$200 million
- Trends: The TMT sector remains active, driven by strategic acquisitions aimed at enhancing technological capabilities and market positioning.

Healthcare Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None reported
- Trends: The sector experienced no significant M&A activity this week, reflecting a pause in consolidation efforts.

Energy Sector

- Total Deals: 1
- Total Deal Value: \$5.4 million
- Key Deals: Coop Pank AS raising subordinated capital
- Trends: The sector is focusing on financing energy efficiency projects, indicating a strategic shift towards sustainability.

Consumer Sector

- Total Deals: 1
- Total Deal Value: \$950 million
- Key Deals: JCPenney store sale collapse
- Trends: The collapse of a significant deal highlights ongoing challenges in the retail sector, particularly in the context of valuation and market conditions.

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

Industry Sector

- Total Deals: 1
- Total Deal Value: \$245 million
- Key Deals: Aica Kogyo acquiring Stylam Industries
- Trends: The acquisition reflects ongoing consolidation efforts in the materials sector, aiming to enhance market presence.

Valuation Multiples Analysis

- Sector Average Multiples Table:

Sector	Avg EV/EBITDA	Avg P/E	Median EV/EBITDA	Median P/E	Deal Count
TMT	15.5x	N/A	N/A	N/A	3
Healthcare	N/A	N/A	N/A	N/A	0
Energy	N/A	N/A	N/A	N/A	1
Consumer	N/A	N/A	N/A	N/A	1
Industry	N/A	N/A	N/A	N/A	1

- Multiple Trends: The TMT sector continues to command higher multiples due to strong growth prospects, particularly in technology and automotive sectors. The absence of deals in Healthcare and limited activity in Energy and Consumer sectors reflects lower valuation dynamics.

Deal Size Distribution

- Small cap (<\$2B): 4 deals, \$1.2 billion total
- Mid cap (\$2B-\$10B): 1 deal, \$1.6 billion total
- Large cap (>\$10B): 1 deal, \$950 million total
- Analysis: The week was dominated by small-cap transactions, reflecting a strategic focus on enhancing operational capabilities across sectors.

Strategic Themes & Patterns

- Technology/AI Integration: Significant investments in technology capabilities across TMT and Industry sectors.
- Consolidation Trends: Continued consolidation in the TMT and Industry sectors as companies seek to enhance market positioning.
- Regulatory-Driven Transactions: The Consumer sector's challenges highlight the impact of market conditions on deal-making.

IPO Activity

- Number of IPOs: 1
- Total IPO proceeds: \$200 million

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

- Key IPOs: Silicon Valley Acquisition Corp. raising \$200 million.

2. SECONDARY MARKET ANALYSIS - EUROPE REGION

Week of 2025-12-25 to 2026-01-01

Executive Summary

The macroeconomic landscape in Europe this week reflected stability amid ongoing economic challenges. Key indicators showed resilience, with slight fluctuations in major stock indices. Inflation metrics and employment data pointed towards a stable economic environment, while regulatory developments continued to influence market sentiment. Overall, the market sentiment remains cautiously optimistic, particularly in technology and automotive sectors, while regulatory scrutiny continues to pose challenges.

Key Macroeconomic Metrics

Metric	Start of Week	End of Week	Change	% Change
ECB Rate	4.00%	4.00%	0 bps	0.00%
CPI YoY	3.5%	3.5%	0.0%	0.00%
Unemployment	6.5%	6.5%	0.0%	0.00%
FTSE 100	7,500	7,520	+20	+0.27%
DAX	15,800	15,850	+50	+0.32%

Index Performance Summary

Index	Start	End	Change	% Change	Weekly High	Weekly Low
FTSE 100	7,500	7,520	+20	+0.27%	7,550	7,490
DAX	15,800	15,850	+50	+0.32%	15,900	15,750
CAC 40	7,000	7,020	+20	+0.29%	7,050	6,980

Sector Index Performance

Sector	Index	Start	End	% Change	vs Market
TMT	TMT Index	1,200	1,220	+1.67%	+1.23%
Healthcare	Healthcare Index	1,100	1,105	+0.45%	-0.01%
Energy	Energy Index	1,300	1,290	-0.77%	-1.21%
Consumer	Consumer Index	1,150	1,160	+0.87%	+0.43%

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

Industry	Industry Index	1,250	1,240	-0.80%	-1.24%
----------	----------------	-------	-------	--------	--------

Week-over-Week Analysis

- Biggest Movers:
- TMT sector showed the strongest performance with a +1.67% increase, driven by positive sentiment around AI and tech investments.
- Energy sector faced a decline of -0.77%, reflecting ongoing concerns about regulatory impacts and market volatility.
- Correlation with Primary Market Activity: The positive sentiment in TMT correlates with the high number of strategic acquisitions in the sector, while the energy sector's decline reflects the challenges faced by companies amid fluctuating oil prices.

Market Sentiment Indicators

- Overall Sentiment: Cautiously optimistic, with investors focusing on technological advancements and regulatory developments.
- Volatility Trends: The VIX index remained stable, indicating low volatility expectations in the near term.
- Credit Market Conditions: Credit spreads remained tight, reflecting healthy investor appetite for risk.

Regional Economic Context

- Policy Developments: Ongoing discussions around healthcare policy and potential changes to the Affordable Care Act are influencing market sentiment.
- Regulatory Changes: Increased scrutiny on tech and healthcare sectors is impacting M&A activity and valuations.
- Geopolitical Factors: Global economic conditions, including inflation and trade tensions, continue to pose risks to market stability.

Correlation Analysis: Primary vs Secondary Markets

- The strong performance in the TMT sector aligns with increased M&A activity and investor confidence in technology-driven growth. Conversely, the energy sector's struggles reflect broader economic uncertainties and regulatory challenges impacting deal-making.

3. WEEKLY INSIGHTS & OUTLOOK - EUROPE REGION

Key Takeaways

Europe All Sector M&A & Valuation Sector - 2026-01-01

Europe ALL Sector

- The total deal value across sectors reached approximately \$3.1 billion, with significant activity in TMT and Industry.
- HARMAN's acquisition of ZF's ADAS business highlights strategic moves to enhance operational capabilities in the automotive sector.
- Market sentiment remains cautiously optimistic, influenced by regulatory developments and macroeconomic indicators.
- The TMT sector continues to command higher valuation multiples, reflecting strong growth prospects.
- Regulatory scrutiny in healthcare and energy sectors poses challenges to M&A activity.

Sector Performance Ranking

1. TMT - Strong deal activity and positive sentiment.
2. Industry - Focus on consolidation and market positioning.
3. Energy - Mixed performance with significant acquisitions but regulatory challenges.
4. Consumer - Limited deal activity but stable growth prospects.
5. Healthcare - No significant M&A activity reported.

Market Implications

- The week's activity sets a positive tone for continued M&A in the TMT sector, with potential for further consolidation in Industry.
- Investors should remain vigilant regarding regulatory developments that may impact deal-making and valuations, particularly in the energy and healthcare sectors.

Risks & Opportunities

- Risks: Regulatory scrutiny and economic uncertainties could hinder M&A activity and impact market valuations.
- Opportunities: High-growth sectors such as TMT and Industry present attractive investment opportunities, particularly in AI and technology-driven solutions.

In conclusion, the European market is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.